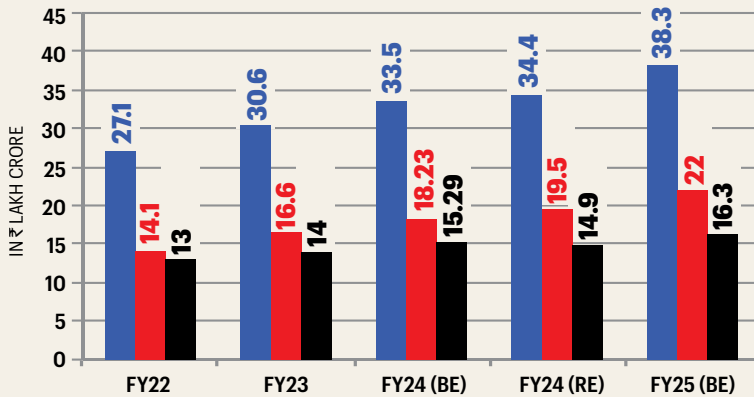


CREDIBLE REVENUE PROJECTIONS

▶ Nominal GDP growth is pegged at 10.5% in FY25 ▶ Gross tax revenue estimated to grow by 11.5% in FY25



● GROSS TAX COLLECTIONS ● TOTAL DIRECT TAX ● TOTAL INDIRECT TAX; BE IS BUDGET ESTIMATE AND RE IS REVISED ESTIMATE
SOURCE UNION BUDGET, MOTILAL OSWAL



“You under-promise, over-deliver and generate credibility for the process rather than over-promise and under-deliver”

V. ANANTHA NAGESWARAN

CHIEF ECONOMIC ADVISER



“We have assumed 10.5% nominal GDP growth. This could be any combination of real plus the GDP deflator... 6.5% plus 4%, or 7% plus 3.5%...”

T.V. SOMANATHAN
FINANCE SECRETARY

WHAT THE FULL BUDGET MAY TAKE UP

- ▶ The full Budget may review growth and revenue projections based on economic scenario then
- ▶ Allocations to ministries and schemes may be revised
- ▶ New schemes could be announced
- ▶ Tax proposals such as simplification of long-term capital gains and implementation of BEPS 2.0 may be looked into
- ▶ Customs tariffs would be reviewed

the Interim Budget, along with the focus on fiscal consolidation and the continued thrust on capital expenditure. “That has been the hallmark of the last five years. The Budgets have been prudent, conservative, and transparent. [The Interim Budget] has adhered to that formula. You under-promise, over-deliver and generate credibility for the process rather than

over-promise and under-deliver,” says V. Anantha Nageswaran, the Chief Economic Adviser and also the chief author of the review.

In FY25, the finance minister aims to lower the fiscal deficit to 5.1% of the GDP from 5.8% in the current financial year and has reiterated the government’s commitment to sticking with the glide path to reduce the fiscal deficit to

less than 4.5% by FY26.

Projections for growth and tax collections are also being seen as equally plausible and, at times, even conservative. The Interim Budget has pegged nominal GDP growth at 10.5% for FY25. Finance Secretary T.V. Somanathan says the government is confident of achieving this target. “We have assumed 10.5% nominal